Report of American Machine and Metals, Inc., for 1931 and 1932

Item	1932	1931
Income account:		
Net before depreciation and interest	*Loss* $ *136,885*	*Profit* $101,534
Add profit on bonds repurchased	174,278	270,701
Profit, including bonds repurchased	37,393	372,236
Depreciation	87,918	184,562
Bond interest	119,273	140,658
Final net profit or loss	*Loss 169,798*	*Profit* 47,015
Charges against capital, capital surplus and earned surplus:		
Deferred moving expense and mine development	111,014	
Provision for losses on:		
Doubtful notes, interest thereon, and claims	600,000	
Inventories	385,000	
Investments	54,999	
Liquidation of subsidiary	39,298	
Depletion of ore reserves	28,406	32,515
Write-down of fixed assets (net)	557,578	
Reduction of ore reserves and mineral rights	681,742	
Federal tax refund, etc.	cr. 7,198	cr. 12,269
Total charges not shown in income account	$2,450,839	$20,246
Result shown in income account	dr. *169,798*	cr. 47,015
Received from sale of additional stock	cr. 44,000	
Combined change in capital and surplus	dr. $*2,576,637*	cr. $26,769

much corporate accounting, we reproduce herewith in full the income account and the appended capital and surplus adjustments.

We find again in 1932, as in 1926, the highly objectionable practice of including extraordinary profits in income while charging special losses to surplus. It does not make much difference that in the later year the